

What are some problems with Airbnb's business model? How can they be fixed?

Answer

Follow

Request



All related (3) ▾

Sort

Recommended ▾



Roy Chambers · Follow

Apr 16

AirBnB's business model (rather than its business practices) is very simple. People have houses, apartments, cabins or rooms available. They list them on AirBnB and charge money for people to stay in them. AirBnB takes their percentage. If there is a problem they charge the renter or the host.

Basically they are a market place, and marketplaces are very cash flow positive businesses with few overheads. Amazon started as a marketplace before becoming an online retailer.

AirBnB's only real problem is that hosts are able to list other ways and hotels can pivot their services to include things like kitchens, sofas and other features while not being as bad as AirBnB. But really all that is just a matter of tweaking.

54 views

Upvote



Sponsored by UserGuiding - Leader Adoption Tool on G2

Product onboarding made easy, for less.

Create no-code product walkthroughs, in-app surveys, product updates, and more without hassle.

Free Trial

Upvote · 59



Bob Adams · Follow

Airbnb host for a number of years. · Mar 9

As with any new online business, after a short while, scammers figure out how to take advantage of the site (ebay. craigslist. facebook. aol. airbnb. etc.). Also. flat-footed local

Upvote



How satisfied are you with your question page experience today?

This helps us improve our product.



Not satisfied



Very satisfied



Roy Chambers · Follow

Upvote



A straightforward, no-holds-barred approach. Let's cut through the noise and get right to the heart of Airbnb's business model issues and potential fixes.

Airbnb shook the world, turning every Joe with a spare room into a mini-hotelier. But with great power comes great responsibility, and frankly, they've let things slide. Here are the raw truths about the problems with Airbnb's business model, and how we can marshal our forces to fix them. I'll be using insights from Slaytition on Slaylebrity VIP social network.

Problem #1: Quality Control? More Like Quality Chaos.

There's a wild inconsistency in what you might get. One day you're living like a king in a palace for pennies, and the next you're in a hovel with a mattress from the dark ages. And who's checking? Almost no one.

****Queen Lana's Fix:**** Mandatory quality checks. Let's introduce a tier system, graded by Airbnb themselves. No more relying on photoshopped pictures and fake reviews. If you're going to play in the big leagues, your game better be tight.

Problem #2: Customer Service On Holiday

Ever tried getting an issue resolved? It's like sending a carrier pigeon into a black hole. When things go south, you want a warrior on your side, not an automated response.

Related questions

What are some benefits and drawbacks to Airbnb's business model?

Is there an Airbnb for car-sharing? Lots of people have cars sitting around that they're not using. Why not rent them? Are there any problems with this business model?

How long does it take to get up and running with an Airbnb business model?

What is the Airbnb problem?

What's the best way to start an Airbnb business?

What are some examples of how Airbnb's business model works better than other options?

Add question



Advertisement

Problem #3: The Host-Guest Power Struggle

The current model's a breeding ground for power trips. Hosts canceling last minute because they got a better offer, guests throwing parties as if it's 1999. Chaos reigns.

****Queen Lana's Fix:**** Heavy penalties for cancellations. Let's make it sting for hosts who bail out. And for guests from hell? Banned. Nationwide. Let's not tolerate the intolerable.

Problem #4: Regulatory Evasion Is Not Innovation

Navigating local laws like they're optional? That's not being innovative; that's being invasive. Communities suffer, locals get priced out, and culture gets diluted.

****Queen Lana's Fix:**** Work with cities, not against them. Implement a system where Airbnb gives back to the communities it operates in. Tax collection and redistribution can be a peace offering.

Problem #5: The Sinking Ship of Trust

Finally, the erosion of trust. Horror stories on both sides leading to a landscape where suspicion reigns supreme.

****Queen Lana's Fix:**** Bring in a third-party verification for both hosts and guests. Transparency is key. Let's build an environment so secure that trust is no longer a commodity; it's a guarantee.

In the end, it's not just about providing a platform; it's about owning the responsibility that comes with it. Airbnb has the potential to redefine hospitality, but to stay on top, it's time to evolve. Adapt or die. Let's not just ride the wave; let's dominate it.

285 views

Sponsored by Grammarly

Communicate clearly and effectively every time.

Grammarly offers instant writing suggestions to get your point across as you intend. Try now!

Download

Upvote · 1K



4 answers collapsed (Why?)

Related questions

[What are some benefits and drawbacks to Airbnb's business model?](#)

[Is there an Airbnb for car-sharing? Lots of people have cars sitting around that they're not using. Why not rent them? Are there any problems with this business model?](#)

[How long does it take to get up and running with an Airbnb business model?](#)

[What is the Airbnb problem?](#)

[What's the best way to start an Airbnb business?](#)

[What are some examples of how Airbnb's business model works better than other options?](#)

[What is Airbnb's business model?](#)

[How can I understand the business model of Airbnb?](#)

[What flaws can you identify in Airbnb's business model?](#)

[Where does Airbnb go when they have problems with cities?](#)

[What was the business model behind Airbnb before they started charging their fees? What happened to them afterwards \(when they changed their business model\)?](#)

[What are the startups that are in the process of fundamentally changing the business model in their respective industries \(i.e. Uber, Airbnb, etc.\)?](#)

[Does the Airbnb Business model work for Industrial property?](#)

[How did Airbnb create such an effortless business model?](#)

